Own the intelligence, orchestrate the rest — the disciplined path a capital-constrained ScaNxt can actually fund

WHAT WE ASK THE BOARD TO APPROVE

Make AI-first intelligence the core (Path B), delivered through partners and government rails (Path A), with manufacturing and mechanisation licensed or rented while ScaNxt retains the device IP and the intelligence. A three-year, gate-governed path from ₹1.86 cr to ₹25 cr that never bets the company on a factory.

Four directions pull at once — hardware, AI intelligence, partner scale, full mechanisation. We choose one engine, one channel, and defer the rest.

ENGINE	**Path B · AI-first intelligence** — Recurring, scalable — compounds with every test
CHANNEL	**Path A · partner-led scale** — VLEs, FPOs and government as the low-cost last mile
DEFERRED	**Path C · integrated, capital-heavy** — Manufacturing & mechanisation licensed or rented until the gates are met

THE BALANCE SHEET IS THE ARGUMENT

₹1.86 cr FY25 revenue base (case)

₹1 cr active bank borrowing — Punjab National Bank, 31 Dec 2025

Tracxn Loans & Charges record; external source, not a case fact

A company this size cannot fund a factory, own distribution and out-spend a far better-funded global rival at once. It can own the one thing that needs no factory: the data, the models and the farmer engagement layer.

Asset-light is not a preference. It is the disciplined path the balance sheet supports.

OWN · what compounds and can't be copied

India-calibrated soil & pest data + the models trained on it · Bhu-Parikshak device IP & spectral R&D · the recommendation engine · the farmer intelligence & engagement layer · the orchestration layer

RENT · everything capital-heavy

Contract manufacturing · distribution via FPOs & agribusiness · device and mechanisation finance via banks / NBFCs · EV tractors & robotics via the CSIR transfer and subsidised Custom Hiring Centres · last-mile reach on government schemes (SHC, VLSTL)

Diagnose → Recommend → Fulfil → Execute → Learn: one loop — a rival can copy a box, not the loop.
Hardware can be copied. Embedded intelligence + trust is harder to replicate. We own the thin layer that compounds with every test, and rent every layer that needs a balance sheet we do not have.

0–12 MONTHS · PROVE — **₹3–4 cr**

3-district Punjab / Haryana / W. UP pilot — worst over-application (254 vs 147 kg/ha national) and the highest farm incomes · ICAR validation on N + organic carbon · data-rights clause in every contract

12–24 MONTHS · SCALE — **₹7 cr**

~300 VLEs on subsidised devices · onto SHC & RKVY panels · paid advisory launched

24–36 MONTHS · MONETISE — **₹25 cr**

First lender / insurer data contract · pest layer added · EV tractor licensed as royalty

Six shocks are not six problems — they close one trap, and asset-light data ownership is the one door out

SHOCKS 2 + 3
AI + hardware commoditise
Defensibility must move beyond the device — to proprietary data, workflow and field access

→

WHICH MEANS
All three need field access
And field access means PARTNERS — governments, FPOs, VLEs

→

WHICH TRIGGERS SHOCK 5
Last-mile dependence
The same partners can own the farmer and the behavioural data that IS the moat

→

SHOCKS 1 + 6
Capital and execution bar the exits
Can't afford full-stack; can't own the whole last mile — the trap is closed

THE ONE DOOR OUT — asset-light data ownership: own the data and the farmer engagement layer, keep physical access through partners by contract, rent everything heavy. We did not build a strategy and then test it against the shocks — the shocks are the reason the strategy is what it is.

ADVERSITY 1

If commoditisation kills the moat before the data compounds

Cheap sensors plus free foundation models reproduce our diagnosis and advice, and a far better-funded rival — CropX, now holding SCIO's 44 NIR patents — undercuts us before India-calibrated data becomes a real moat.

EARLY WARNING — watch

- Device gross margin below plan for 2 consecutive quarters
- A sub-₹50k rival NIR device launches in India
- Device-attach on new farmers drops >15% YoY
- A free foundation-model soil advisor reaches farmers in Hindi / regional languages

PRE-COMMITTED RESPONSE — then

- Accelerate the shift from device revenue to advisory + marketplace
- Bundle device with advisory so the relationship, not the box, is the product
- Deepen what can't be copied: per-agro-zone calibration + ICAR-validated model
- Lock outcome-linked data rights with top partners early, ahead of the threat

ADVERSITY 2

If the last mile takes the farmer — and the data — from us

Reach depends on partners. The same VLEs, FPOs and agencies can own the farmer relationship and the behavioural data; if a large federation goes direct with our playbook, our channel becomes our competitor and the moat drains away.

EARLY WARNING — watch

- VLE 12-month churn above 20% for 2 consecutive quarters
- Data flow-back below 80% of active devices syncing
- A partner requests raw, not aggregate, data rights
- A large FPO federation launches its own testing / advisory offer

PRE-COMMITTED RESPONSE — then

- Strengthen the hub: working capital, servicing, year-round VLE income
- Enforce sync-to-platform architecture — the device writes to our cloud by design
- Every MoU assigns ScaNxt the aggregated-data rights as the price of joining
- Anchor the farmer with the advisory subscription, not the one-off test

All six shocks, one posture — asset-light data ownership. Trigger rule: any 2 indicators persisting 2 consecutive quarters → board review of pace and channel mix. Thresholds are our proposed decision rules, not case facts.

Capital pressure	AI commoditisation	Hardware commoditisation	Climate volatility	Last-mile dependence	Execution complexity
No build · 3 states · sequence revenue	Cheap AI raises the value of our data	Near-cost device; monetise the advice	Per-zone recalibration + pest alerts	Data by contract + sync-by-design	Deferred: licensed, never owned

₹1.86 cr → ₹25 cr: the engine shifts to recurring revenue, the unit economics hold, and the plan survives the downside

Revenue by stream (₹ cr · illustrative mix on case anchors)

Revenue stream	Y0	Y1	Y2	Y3
Device & test fees	1.30	2.60	4.20	6.00
Advisory subscriptions	0.10	1.50	4.00	7.50
Marketplace & data	0.06	0.90	3.00	6.50
Institutional & analytics	0.40	1.80	3.50	3.00
Tractor royalty (licensed)	0.00	0.20	0.80	2.00
TOTAL	**1.86**	**7.00**	**15.50**	**25.00**
Recurring % (advisory + mktpl.)	**9%**	**34%**	**45%**	**56%**

Device & test fees fall from 70% of revenue to 24%; advisory + marketplace rise from 9% to 56%. No single stream reaches ₹25 cr — the mix does the work. The farmer still pays ~₹1,000 a year; ₹25 cr comes from more VLEs, not a higher price — roughly 2.5 lakh farmers, about 2.5% of the 10-million ambition. Year 1 is Project Navjeevan, the 3-district pilot that proves the loop and funds the data corpus.

Unit economics — no hardware-heavy acquisition engine needed

Per unit / year	Farmer	FPO / inst.	VLE
Revenue to ScaNxt	₹500	₹2,00,000	₹1.5 L*
Gross margin	72%	55%	channel
Acquisition cost	₹200	₹25,000	₹20,000
Annual churn	30%	12%	hub-supported
Lifetime value	₹1,200	₹9.2 L	—
LTV : CAC	**6.0×**	**36.7×**	**—**
Payback	**6.7 mo**	**<3 mo**	**1 season**

Farmer CAC is small because VLEs acquire farmers — not paid marketing. 30% farmer churn is deliberately conservative; institutions are stickier and anchor the base. Both segments stay contribution-positive under these assumptions. * ₹1.5 L is direct channel revenue per VLE; the sensitivity opposite counts the downstream farmer revenue each VLE activates (advisory + marketplace across ~800 farmers), so 100 fewer VLEs cost ~₹3.8 cr.

Stress test — Y3 under pressure

Scenario	Y3 revenue
Downside — slow VLE ramp, no tractor	₹15.5 cr
Base case	**₹25.0 cr**
Upside — fast adoption + data deals	₹30.0 cr

Biggest levers — one-at-a-time Y3 impact

VLE count 300 → 200	−₹3.8 cr
ARPU ₹1,000 → ₹700	−₹2.2 cr
Marketplace take 6% → 4%	−₹2.1 cr
Tractor gate never opens	−₹2.0 cr

The downside removes VLE speed and tractor upside — not the strategy: the recurring-revenue transition still happens and capital-heavy Path C is still avoided. The biggest lever is VLE recruitment, which is why this is a distribution machine, not a technology bet.

All unit economics, scenarios and the stream split are benchmarked model assumptions, not case facts. Anchors: the case's ₹1.86 cr base, ₹190 per government sample, 5–8% marketplace take, and the founder's public figures (₹400–500 a year for a 12–13% productivity gain). Rural CAC and churn benchmarked to CSC / DeHaat agent networks.

"Technology should not replace the farmer's wisdom; it should strengthen it." — *Founder & CEO, ScaNxt*

Can ScaNxt use a polycrisis to become more focused, more defensible and more scalable?

Yes. The polycrisis is not the threat — it is the forcing function. It strips away every path a company with this little capital could never afford, and leaves standing the one thing that compounds: India-calibrated data and the farmer's trust. The polycrisis does not force ScaNxt to do more. It gives ScaNxt permission to do less, better.